

changes occurring when something has changed in your life. Adjustments to plans should never be made in reaction to poor market conditions or be based on a comment some talking head made on television. You would not quit your job and change occupations because you are going through a slump nor should you change your investment plan because your portfolio is suffering in a bear market. These off periods are natural and expected, and you must learn to live with them.

Put your investment plan in writing, because a written plan is not soon forgotten. Your *investment policy statement (IPS)* should include your financial needs, investment goals, asset allocation, description of investment choices, and why you believe this plan should get you to your goals over time. I guarantee that you will not be making many snap investment decisions if you have the discipline to read your IPS before you make any change.

All the planning in the world will not help if a plan is not implemented and religiously maintained. Most investment plans never become fully implemented because of a host of excuses including procrastination, distractions, laziness, lack of commitment, and the never-ending search for a perfect plan. I estimate that less than 50 percent of investment plans written are actually fully put into place. But that is not the whole story. Regular maintenance is the key to success following plan implementation. Markets are dynamic, and so is your portfolio. Periodic maintenance is needed to ensure that a portfolio is kept in line with the plan.

It is likely that less than 10 percent of all investment plans are fully implemented and maintained long enough and with enough discipline to make them work efficiently. Perhaps you may think I am being pessimistic, but that is what I have witnessed in my many years in the investment business. Many great investment plans fall by the wayside each year. There are a lot of good intentions out there, but there is much more procrastination.

THERE ARE NO SHORTCUTS

Money and life are intertwined in our culture. Our financial well-being is always on our minds. Will we have enough money? Will our children have enough for college? Is my income secure? What will happen to Social Security? Will I be able to afford health care? Are taxes going up? Will I be